

## The Complete Financial Guide for Young Couples

small savings plan.

|                           |                 |
|---------------------------|-----------------|
| Husband's income per year | \$24,000        |
| Less:                     |                 |
| Insurance (not necessary) | \$ 250          |
| His living costs          | \$3,000         |
| Social Security income    | \$8,000         |
| Deduct after-death income |                 |
| from total deductions     | <u>\$11,250</u> |
| Income needed for family  | \$12,750        |

Multiply  $\$12,750 \times 10 = \$127,500$  insurance needed. (Multiplying the amount needed to earn \$12,750 yearly at 10 per cent interest.) Thus, the approximate amount of insurance necessary to earn \$12,750 in interest income is \$127,500. Appendix C provides a simple form for calculating the amount of insurance your family needs.

If additional funds are needed for education or other special circumstances, these should also be considered. Strive for balance. Trying to overprotect a Christian family can remove them from God's plan for their lives. The same God who provides for us promises to provide for our families as well. He wants us to use our sound minds to provide (1 Timothy 5:8) but not to try to protect against everything.

### SHOULD WIVES HAVE LIFE INSURANCE?

Several sales methods are used to sell insurance for wives. The most common is: how much would it cost to replace the work a wife provides in the home? This is usually meant to imply a maid and other services. This reasoning is valid only when a family has small children and no close relatives or friends who could or would assist in the housekeeping, cooking, and so forth.

Another reason given for the wife to have insurance is the cost of her burial. This is a legitimate purpose to carry some insurance on a wife. Unless a family has enough money in savings to cover the funeral costs, such an expense could